IT Project Management

Topic 3: Project Initiation & Stakeholder

What is Project Initiation?

Project initiation is the foundational first phase of project management, designed to define a project's purpose, scope, and feasibility while securing approval from key stakeholders. It involves developing a business case, creating a project charter, identifying stakeholders, and ensuring alignment with organizational goals to authorize the project.

Core Activities :

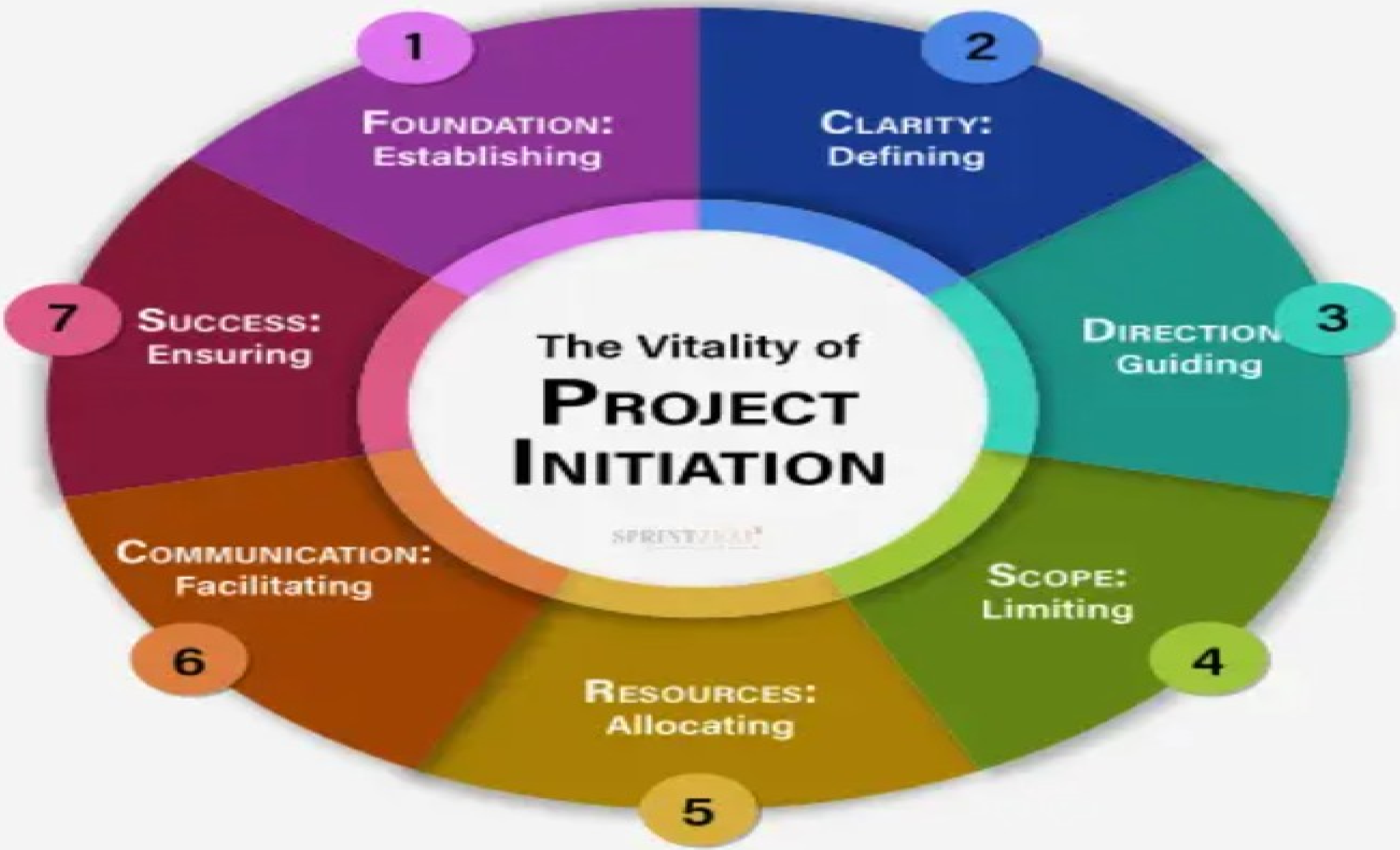
- Defining the project's goals, scope, and constraints.
- Identifying key stakeholders and their expectations.
- Appointing the project manager and core team.

Purpose :

- Confirm on business need
- Define high-level scope
- Identify key stakeholders
- Decide to proceed, delay, or stop

Key Output From Project Initiation?

- **Business case -** A document justifying the project’s feasibility, benefits, and costs.
- **Project charter –** A document outlining the project’s purpose, high-level scope, and goals to gain approval.
- **Initial stakeholder list –** A list documenting key stakeholders, their expectations, and roles.


1
Foundation: Establishing
2
Clarity: Defining
3
Direction: Guiding
4
Scope: Limiting
5
Resources: Allocating
6
Communication: Facilitating
7
Success: Ensuring
The Vitality of
Project Initiation

Business Case

Problem Statement

- What problem are we trying to solve?
- What happens if nothing is done?

Objective

- What the project aims to achieve
- Should be clear and measurable

Benefits

- Business value
- Cost reduction or revenue improvement
- Risk reduction or compliance improvement

Why a Business Case is Crucial in IT?

Justification: Proves the investment is worthwhile and aligns with business goals.

Decision Making: Enables stakeholders to approve, reject, or postpone initiatives based on data.

Resource Allocation: Helps prioritize IT projects, especially for limited financial and human resources.

Project Business Case Example

Project Name	Sales Team IVR Telephone System		
Project Sponsor	Head of Sales	Project Manager	Name of project manager
Date of Project Approval	3rd March	Last Revision Date	3rd March
Contribution to Business Strategy	Our strategy is to project best in industry customer service, and the current situation does not reflect this. The new IVR system will ensure all calls are answered in a timely manner. It will also ensure that calls are delt with efficiently. These two facts align this project to the company strategy.		
Options Considered	Options considered included: 1. Adding additional staff to sales team 2. Having a dedicated team for our best customers 3. An IVR system (selected)		
Benefits	1. Increased sales - currently extimated we lose 4% of all sales calls due to current issues. 2. Happier customers - we estimate new customer satisfaction will increase by 10%. 3. Improved LTV - lifetime value of customers will increase by 5% due to the two points above		
Timescales	Initial analysis shows that the system will take approximately 3-4 months to implement.		
Costs	IVR software = $35,000 Project Management = $30,000 Software team of 3 for 3 months = $90,000 Total estimated cost = $155,000		
Expected Return on Investment	Year 1 = $0 Year 2 = $120,000 Year 3 = $180,000 as LTV begins to be felt.		
Risks	Right now the project looks pretty straightforward but there are still some unknows surrounding implementation. There is also the risk that the project doesn't meet the sales team or customers needs. For this reason it is recommended to involve the sales team closely.		

Stakeholders

A stakeholder in an IT project is any individual, group, or organization that can affect, be affected by, or perceive themselves to be affected by the project’s decisions, activities, or outcomes. They have a vested interest in the IT project's success and range from project teams and sponsors to end-users and suppliers.

Role in IT Projects

They define project requirements, provide feedback on software features, and validate that the technology solves the intended business problems.

Identifying stakeholders early helps avoid issues like scope creep, conflicting requirements, and project failure.

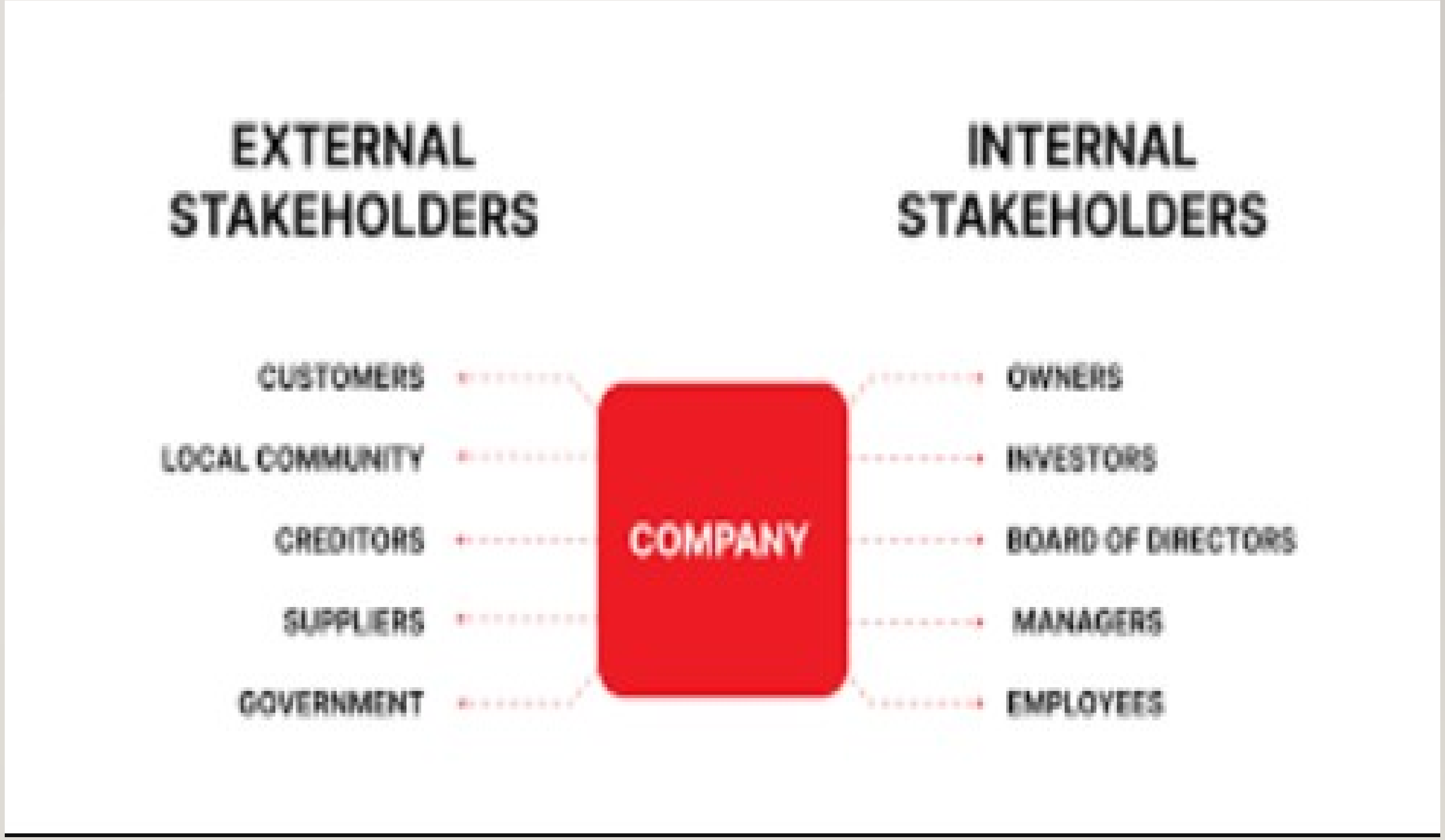
Stakeholders Type

Internal

i. Management
ii. Project team
iii. IT/Security team
iv. End users

External

v. Vendors
vi. Customer
vii. Suppliers
viii. Regulators / auditors



Stakeholders Differences

Aspect	Internal Stakeholders	External Stakeholders
Position	Inside the organisation	Outside the organisation
Relationship	Direct (Employment/Ownership)	Indirect (Transactional/Impacted)
Influence	High, direct control over daily tasks	Varies (purchasing power, regulation)
Focus	Operational feasibility, resource usage	Product value, financial return, impact
Examples	Employee, managers, owners	Customer, suppliers, regulators

Stakeholders Analysis

Stakeholder analysis is a critical project management process that identifies and assesses the influence, interests, and impact of individuals or groups involved in a project. It maps stakeholders based on their power and interest to create targeted communication and engagement strategies, ensuring alignment, minimizing risks, and securing project support.

Why need to analyze?

- Not all stakeholders have equal power
- Not everyone needs the same information

Key Steps in Stakeholder Analysis

1. **Identify Stakeholders:** Brainstorm all individuals, teams, or organizations affected by or capable of influencing the project (e.g., customers, executives, developers).

2. **Understand & Analyze:** Determine their needs, expectations, and potential impact on the project.

3. **Prioritize (Map):** Use a Power/Interest Grid to classify stakeholders into four groups to determine the level of engagement
   High Power/High Interest: *Manage closely (key players).*
   High Power/Low Interest: *Keep satisfied.*
   Low Power/High Interest: *Keep informed.*
   Low Power/Low Interest: *Monitor with minimum effort.*

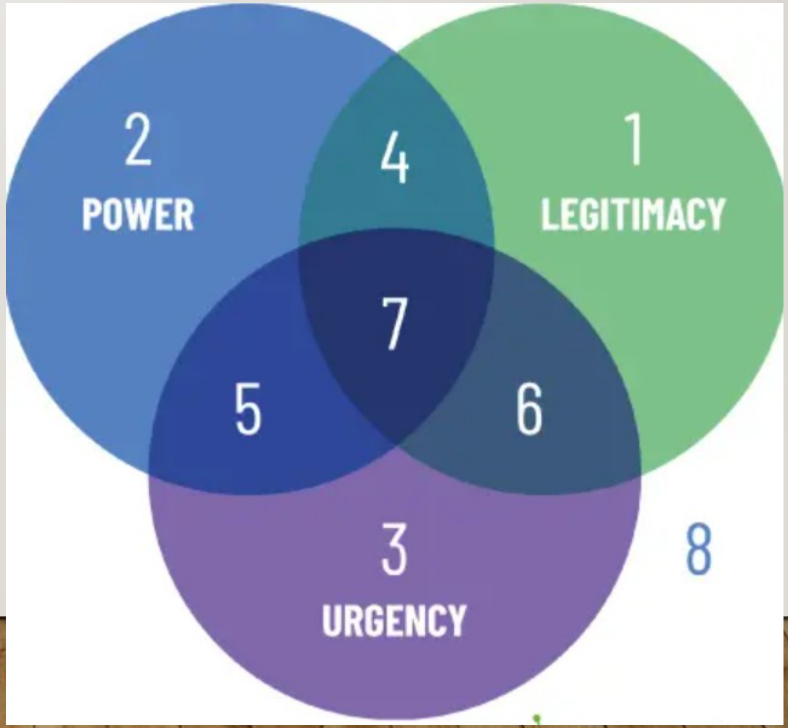
4. **Develop Engagement Strategy :** Plan how to communicate and manage relationships based on their mapping
   i. *What information?*
   ii. *How often?*
   iii. *In what format?*

Common Tools and Techniques in Stakeholder Analysis

1. **Powe/Interest Grid –** Maps stakeholders on a matrix based on their influence and interest.

2. **Stakeholder Matrix/Maps** – A table listing stakeholders, their influence, interest, and engagement strategy.

3. **Salience M** d on their power, legitimacy, and urgency



Benefits of Stakeholder Analysis

1. **Risk Mitigation –** Identifies potential conflicts or challenges early.
2. **Improved communication –** Tailor messaging to specific needs.
3. **Increase support –** Builds consensus and gains buy-in from key parties.
4. **Better decision-making –** Incorporates diverse perspectives.

Project Charter

A project charter is a concise, formal document that officially authorizes a project's existence, outlining its purpose, scope, objectives, and key participants. Serving as a foundational roadmap, it defines the project manager's authority, aligns stakeholders on goals, and secures necessary resources. It acts as an elevator pitch for the project.

Purpose & Benefits :

- **Authorization –** Give the PM the authority to apply resources.
- **Alignment –** Ensures everyone involved has a shared understanding of the project’s purpose and direction.
- **Reference point –** Serves as a guide for decision-making throughout the project lifecycle.
- **Efficiency –** Prevents “scope creep” by clearly defining boundaries early on.

Project Charter

Key Components of Project Charter :

1. **Project Title & Purpose :** The project’s name and justification (why it is being done).
2. **Objectives & Success Criteria :** Measurable goals and how success will be measured.
3. **Scope & Deliverable :** Clearly defined boundaries of what is included and excluded and the final products.
4. **Stakeholders & Roles :** Key individuals involved, including the sponsor and project manager.
5. **High-Level timeline & Budget :** Estimated milestones and resource constraints.
6. **Risk & Assumptions :** Known constraints and potential risks.

ProjectManager

1 Executive Summary

Sum up each of the sections in this document concisely by outlining the project:

- Definition
- Organisation and plan
- Risks and issues
- Assumptions and constraints.

2 Project Definition

This section describes what the project sets out to achieve. It outlines the vision for the project, the key objectives to be met, the scope of work to be undertaken and the deliverables to be produced.

2.1 Vision

Describe the overall vision of the project. The vision statement should be short, concise and achievable. Examples of vision statements include:

PROJECT PURPOSE/JUSTIFICATION

This section describes the purpose and justification of the project in the form of business case and objectives. The business case should provide the reasoning behind the need for this project as it relates to a function of the business.

BUSINESS NEED/CASE

Discuss the logic for the Business Need/Case (market demand, organizational need, customer request, technological advance, legal requirement, ecological impacts, social need, etc). This section should also include the intended effects of the business case (i.e. cost savings, process improvement, new product development, etc).

The VUMC XYZ project has been created to increase organizational IT security in order to prevent further financial damages resulting from external security breaches. The costs associated with the successful design and implementation of these security measures will be recovered as a result of the anticipated reduction in financial damages.

BUSINESS OBJECTIVES

This section should list the Business Objectives for the project which should support the organizational strategic plan.

The business objectives for this project are in direct support of our corporate strategic plan to improve IT security and reduce costs associated with loss and waste.

- Design and test a new IT security infrastructure within the next 90 days.
- Complete implementation the new IT infrastructure within the next 120 days.

Questions?

Class Activity

Draft a Simple Project Charter

- **Form groups of 3-4**
- **Choose a simple IT or Cybersecurity Project**
  - *E.g., Security Awareness System, Access Control Upgrade, Firewall Upgrade*
- **Your charter must include:**
  1. Project Title
  2. Project Objective
  3. High-Level Scope
  4. Timeline & budget (assumption allowed)
  5. Key stakeholders
  6. One major risk

Project Title
(Short, clear, non-technical name)

Project Objective
Describe why the project exists and what is aims to achieve.

- What problem is being solved?
- What outcome is expected?

Guideline:
1–2 clear sentences. Avoid vague words like improve or enhance without explanation.

High-Level Scope

- **In Scope (Included):**

Key activities or deliverables covered by the project

- **Out of Scope (Excluded):**

Items intentionally not included (to avoid scope creep)

Key Stakeholders – List individuals or groups who can influence or are affected by the project.

Stakeholder	Role/Interest

Major Risk & Initial Mitigation

*Identify **one major risk** that could affect the project at an early stage.*
Risk: *What could seriously go wrong?*
Mitigation: *How will this risk be reduced or managed?*

Example 1: Cybersecurity Awareness Training Project

- **Objective:** Reduce phishing-related incidents by increasing staff awareness.
- **Stakeholders:** HR, IT Security Team, All Employees, Management
- **Major Risk:** Low staff participation or engagement

Example 2 : Secure Password Policy Implementation

- **Objective:** Enforce stronger password practices organization-wide.
- **Stakeholders:** All Users, IT Support, Management
- **Major Risk:** User non-compliance

Example 3 : Access Control Policy Standardization

- **Objective:** Standardize access control rules across departments to reduce unauthorized access.
- **Stakeholders:** IT Security, Department Heads, System Users
- **Major Risk:** User resistance due to reduced access